Western Digital: producer realization catches up

Western Digital has operated as a standalone HDD company since the February 2025 Sandisk separation. Continuing cloud, client and consumer HDD operations form this report perimeter; future flash profits and retained-stake gains are excluded. It supplies drives, heads, media and storage-system technologies. Higher density increases delivered bytes without an equivalent increase in drive units. Manufacturing throughput, yields, qualification and working capital determine profitable accepted output. The retained FY2026 10-K and prior validated report establish that perimeter.

The Q4 2027 forward window is 870.127464 USD per share versus 819.032566 on the same horizon, a 6.24% increase. The existing method remains 20x current-plus-next-three-quarter adjusted operating profit over 388 million diluted shares. Cash is not added to this operating-profit valuation.

Analytical score is 47/60, or 78.33%, rounded to 78. Protected Excel Base remains 77. The saved 448.17 USD quote is dated September 21, 2026, and is historical context; no current-price upside is calculated. Holding status is unspecified.

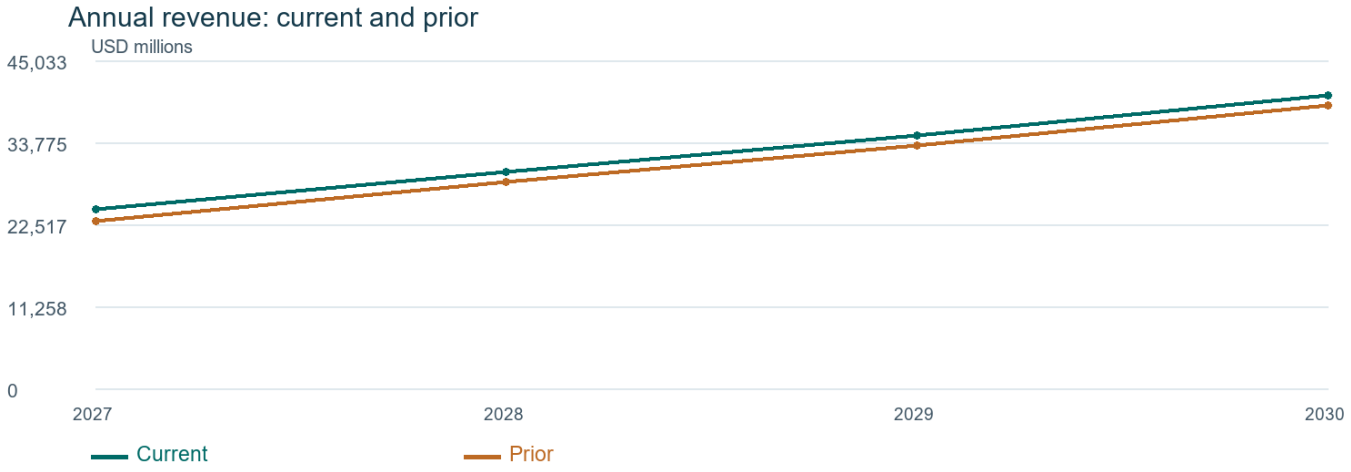
Active window and classification

Measure	Value
Window	Q4 2027 through Q3 2028
Four-quarter adjusted OP	16,880.472806
Native multiple	20
Starting-quarter share proxy, million	388
USD per share	870.127
Prior same-window USD per share	819.033
Same-window change	6.24%

The upgrade is price capture, with paid costs

The issuer deck reports 223 exabytes of nearline shipments and 25 exabytes of non-nearline shipments, totaling 248. The existing model already used 223 nearline exabytes for this quarter. The earnings beat therefore resets realized dollars and profit without adding the non-nearline 25 exabytes to the cloud quantity pool.

For Q4 2027, probability-weighted nearline output is about 309.225 exabytes, below the prior 312.435 schedule. Improved full producer pricing drives the increase in operating profit. Manufacturing, warranty, depreciation, R&D and commercial support remain separately paid; the earlier scarcity and client residual branches are replaced in full.



Calendar-year sums

Year	Revenue	Adjusted OP	Prior revenue	Prior OP
2027	24,592.7	13,831.2	22,928.3	12,365.1
2028	29,708.2	17,763.9	28,331.8	16,934.0
2029	34,753.6	21,572.4	33,297.2	20,939.1
2030	40,208.2	25,635.8	38,787.0	24,569.7

Each year contains four modeled calendar quarters. Fiscal and calendar mappings are explained on the next page.

Q1 FY2027 actuals and calendar mapping

The fiscal quarter ended October 2, 2026 maps to the existing Q3 2026 calendar bucket. Fiscal Q2 FY2027 maps to Q4 2026; fiscal Q3 and Q4 map to Q1 and Q2 2027. The mapping is a modeling convention, not a change to the issuer reporting dates.

Consolidated revenue was 4,381 million and adjusted operating income was 2,153 million. Only 27 million of the 43 million business-realignment expense is excluded from adjusted operating expenses. Removing all 43 again would overstate adjusted operating income by 16 million. E01 release pp 5,8-9 controls these totals.

Reported operating bridge, USD million

Item	Reported / derived
Revenue	4,381.0
GAAP gross profit	2,534.0
Gross-profit exclusions: SBC / other	9 / 1
Adjusted gross profit	2,544.0
GAAP operating expenses	488.0
Opex exclusions: SBC / realignment	70 / 27
Adjusted operating expenses	391.0
GAAP operating income	2,046.0
Adjusted operating income	2,153.0
Actual D&A	104.0

Bridge: 2,046 + 9 + 1 + 70 + 27 = 2,153. Reported adjusted total opex391 controls; R&D253 / SG&A138 is an allocation proxy.

The full December guide anchors each path

Management guides fiscal Q2 FY2027 to revenue of 5,100 million plus or minus 100, adjusted gross margin of 60-61%, and adjusted operating expenses of 400-410 million. The selected joint paths use all three financial endpoints together. They do not turn one-quarter guidance into a company forecast through 2030.

Selected nearline shipments of 241 exabytes and client/consumer revenue of 515, 525 or 535 million are LOW-confidence allocation proxies. Each full cloud revenue pool determines one blended producer price. The 15 million approximate interest/other expense and 17% tax guidance inform cash planning; guided 380 million weighted diluted shares do not replace the native 388 million denominator.

Known guidance exclusions of about 15 million in gross profit and 80 million in opex are incomplete for a full future GAAP reconciliation. Undetermined realignment, litigation and other items remain outside a falsely precise GAAP forecast. E01 pp 3,11-12.

Correlated guide calibration

Path	Weight	Revenue	Adj. GM	Opex	Adj. OP
Delayed Normalization	25.0%	5,000.0	60.0%	410.0	2,590.0
Central	55.0%	5,100.0	60.5%	405.0	2,680.5
Scarce Accelerated	20.0%	5,200.0	61.0%	400.0	2,772.0

223 nearline is already the correct baseline

Deck page 5 distinguishes the nearline and non-nearline bars. The current quarter totals 223+25=248 exabytes. Total shipment growth is not evidence that the nearline base was 248. No additional cloud activity is inferred from that category confusion.

Current cloud revenue of 3,868 million is an analytical residual:4,381 minus 320 client and 193 consumer. Management rounded cloud revenue to 3.9 billion and 88% of sales. The precise residual is not relabeled as a separately disclosed precise cloud line. Its quotient over 223 nearline exabytes is a producer-realization proxy, not a disclosed contract price.

Observed activity and the model boundary

Observation	Amount / scope
Nearline shipments, EB	223
Non-nearline shipments, EB	25
Total shipments, EB	248
Client revenue, USD M	320.0
Consumer revenue, USD M	193.0
Derived cloud residual, USD M	3,868.0
Residual producer USD/TB	17.345291
Prior nearline model, EB	223; unchanged by the category clarification

Three joint outcomes, weighted once

The selected 25/55/20 probabilities describe delayed normalization, central execution and scarce accelerated capture. They are joint outcomes linking demand, capacity, pricing, qualification and costs. They are not source-confidence scores, and the operating score does not multiply their results again.

Central demand and capacity retain the native schedules. Delayed demand/capacity use 90/95% with a two-quarter technology lag; scarce uses 105% for both. Retained HAMR conversion fractions represent accepted output within each path. They do not introduce a second independent probability on the final target.

Joint operating controls

Path	Weight	Demand	Capacity	Lag Q	Quarterly opex growth
Delayed Normalization	25.0%	90.0%	95.0%	2	2.5%
Central	55.0%	100.0%	100.0%	0	2.0%
Scarce Accelerated	20.0%	105.0%	105.0%	0	2.0%

Annual cash-cost decline and paid capex ratios

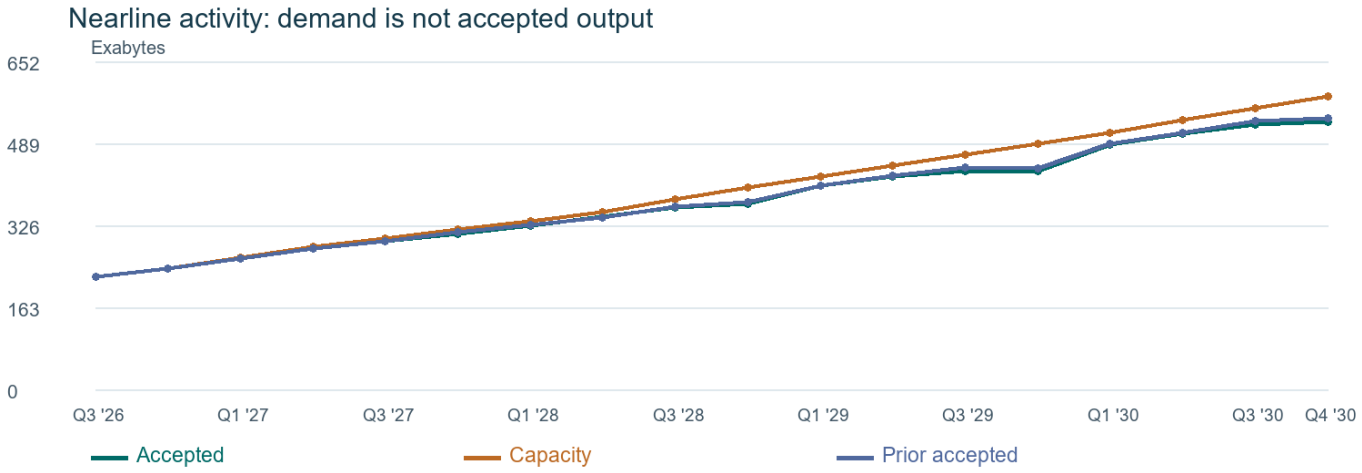
Path	Year	Cost/TB decline	Capex / R
Delayed	2027	3.0%	8.0%
Delayed	2028	5.0%	7.5%
Delayed	2029	7.0%	6.5%
Delayed	2030	8.0%	6.0%
Central	2027	6.0%	7.0%
Central	2028	8.0%	6.5%
Central	2029	10.0%	6.0%
Central	2030	10.0%	5.5%
Scarce	2027	8.0%	7.5%
Scarce	2028	10.0%	7.0%
Scarce	2029	10.0%	6.0%
Scarce	2030	10.0%	5.5%

All are selected analytical assumptions. Q4 2026 capex is 7% in each path. Annual cost declines use a fourth-root quarterly factor and affect variable production costs, not all operating expenses.

Density and acceptance bound recognized output

Recognized nearline exabytes equal the smaller of demand and physical capacity, reduced for unaccepted planned HAMR output. Missed HAMR units are not automatically filled by another category. Higher-capacity ePMR and residual legacy output share that same finite quantity pool.

Management expects two first-generation HAMR qualifications in Q1 calendar 2027 and volume shipments in the first half of calendar 2027. These are qualification milestones, not revenue already accepted today. Finished-drive unit capacity and exabyte capacity are different measures; higher heads/discs per drive and process cycles require paid resources.



Weighted physical activity

Quarter	Accepted EB	Capacity EB	HAMR EB	ePMR EB	Other EB
Q3 2026	223.000	223.000	0.000	55.750	167.250
Q4 2026	241.000	241.000	0.000	72.300	168.700
Q1 2027	260.344	262.343	7.995	131.171	121.177
Q2 2027	280.389	284.288	22.093	157.035	101.261
Q3 2027	294.500	300.248	48.154	161.562	84.784
Q4 2027	309.225	317.205	87.814	152.610	68.801
Q1 2028	326.047	334.163	136.688	132.869	56.489
Q2 2028	342.900	353.115	194.087	105.094	43.719
Q3 2028	362.022	377.055	246.348	82.408	33.266
Q4 2028	368.524	401.993	293.388	57.478	17.659
Q1 2029	404.663	422.940	347.264	43.905	13.494
Q2 2029	422.935	444.885	380.220	29.426	13.288
Q3 2029	434.041	466.830	402.568	18.856	12.617
Q4 2029	433.762	488.775	407.881	12.224	13.657
Q1 2030	486.424	510.720	461.618	7.539	17.267
Q2 2030	509.060	534.660	486.401	4.583	18.077
Q3 2030	526.556	558.600	505.919	2.127	18.510
Q4 2030	531.506	582.540	513.475	0.638	17.394

One full producer price replaces old residuals

For each path, the December cloud pool divided by 241 exabytes establishes the full producer price. Later selected price changes apply to that level. The earlier absolute Toshiba concession is then subtracted once. No old scarcity premium, finite client residual or second exposure probability is added on top.

HAMR and ePMR relative price weights of 1.04 and 1.02 allocate the same blended cloud receipts. Allocation is cloud revenue times weighted product quantity divided by total weighted quantity. The weights create no additional cloud sales. Client/consumer follows its own scaled reference revenue and 52% planning gross margin.

Weighted recognition and full price

Quarter	Nearline EB	USD / TB	Client / consumer R	Total R	Adjusted OP
Q3 2026	223.000	17.345	513.0	4,381.0	2,153.0
Q4 2026	241.000	18.965	524.5	5,095.0	2,676.2
Q1 2027	260.344	19.303	519.0	5,544.5	3,015.4
Q2 2027	280.389	19.566	535.4	6,021.4	3,366.3
Q3 2027	294.500	19.716	546.4	6,352.7	3,607.5
Q4 2027	309.225	19.763	562.7	6,674.1	3,842.0
Q1 2028	326.047	19.683	551.8	6,969.5	4,076.5
Q2 2028	342.900	19.612	562.7	7,287.6	4,342.1
Q3 2028	362.022	19.558	573.7	7,654.2	4,620.0
Q4 2028	368.524	19.556	590.1	7,797.0	4,725.4
Q1 2029	404.663	19.404	573.7	8,425.8	5,215.7
Q2 2029	422.935	19.204	584.6	8,706.7	5,419.5
Q3 2029	434.041	19.017	595.5	8,849.6	5,513.4
Q4 2029	433.762	18.811	611.9	8,771.5	5,423.9
Q1 2030	486.424	18.619	590.1	9,646.6	6,111.9
Q2 2030	509.060	18.461	601.0	9,999.0	6,375.1
Q3 2030	526.556	18.335	611.9	10,266.2	6,573.6
Q4 2030	531.506	18.190	628.3	10,296.5	6,575.2

Selected reference-price changes per quarter

Path	Q1 2027	Q2 2027	Q3 2027	Q4 2027	2028 each Q	2029 each Q	2030 each Q
Delayed	0.0%	0.0%	(1.0%)	(1.0%)	(1.0%)	(2.0%)	(1.5%)
Central	2.0%	1.5%	1.0%	0.5%	0.0%	(1.0%)	(0.8%)
Scarce	3.0%	2.5%	2.0%	1.5%	0.5%	(0.5%)	(0.5%)

These are per-quarter price-level changes, not annual rates. The absolute Toshiba concession remains separate and is subtracted once.

Revenue: four distinct product allocations

Forecast allocations separate HAMR cloud drives,40TB-class ePMR, other cloud drives and client/consumer HDDs. Each conditional revenue and cost is calculated before the three paths are weighted. A product with no accepted output receives no phantom product revenue.

The actual quarter is controlled by the reported consolidated totals. The current packet does not supply a four-technology financial split, so those actual allocation cells remain missing rather than fabricated as issuer facts. Full-precision raw forecasts and source pointers accompany the report data.

Weighted revenue, USD million

Quarter	HAMR	Advanced ePMR	Other cloud	Client / consumer	Consolidated
Q3 2026	--	--	--	--	4,381.0
Q4 2026	0.0	1,390.2	3,180.3	524.5	5,095.0
Q1 2027	160.4	2,553.9	2,311.0	519.0	5,544.5
Q2 2027	449.2	3,101.3	1,935.4	535.4	6,021.4
Q3 2027	984.2	3,197.6	1,624.6	546.4	6,352.7
Q4 2027	1,792.6	2,995.9	1,322.8	562.7	6,674.1
Q1 2028	2,766.0	2,576.9	1,074.7	551.8	6,969.5
Q2 2028	3,891.4	2,014.3	819.1	562.7	7,287.6
Q3 2028	4,898.4	1,564.7	617.4	573.7	7,654.2
Q4 2028	5,802.1	1,083.8	321.0	590.1	7,797.0
Q1 2029	6,794.6	815.9	241.6	573.7	8,425.8
Q2 2029	7,337.9	538.2	246.0	584.6	8,706.7
Q3 2029	7,681.2	339.1	233.8	595.5	8,849.6
Q4 2029	7,694.6	217.6	247.5	611.9	8,771.5
Q1 2030	8,614.0	131.2	311.3	590.1	9,646.6
Q2 2030	8,997.1	77.7	323.1	601.0	9,999.0
Q3 2030	9,292.9	35.3	326.1	611.9	10,266.2
Q4 2030	9,355.9	9.5	302.7	628.3	10,296.5

Cost of goods sold: four distinct product allocations

Forecast allocations separate HAMR cloud drives,40TB-class ePMR, other cloud drives and client/consumer HDDs. Each conditional revenue and cost is calculated before the three paths are weighted. A product with no accepted output receives no phantom product revenue.

The actual quarter is controlled by the reported consolidated totals. The current packet does not supply a four-technology financial split, so those actual allocation cells remain missing rather than fabricated as issuer facts. Full-precision raw forecasts and source pointers accompany the report data.

Weighted cost of goods sold, USD million

Quarter	HAMR	Advanced ePMR	Other cloud	Client / consumer	Consolidated
Q3 2026	--	--	--	--	1,837.0
Q4 2026	0.0	521.1	1,240.7	251.8	2,013.6
Q1 2027	64.3	926.2	873.3	249.1	2,112.9
Q2 2027	167.9	1,085.7	717.0	257.0	2,227.6
Q3 2027	347.6	1,103.2	592.9	262.2	2,306.0
Q4 2027	601.6	1,033.4	475.6	270.1	2,380.8
Q1 2028	889.9	889.0	385.6	264.9	2,429.4
Q2 2028	1,203.9	698.6	296.7	270.1	2,469.4
Q3 2028	1,505.6	541.1	223.1	275.4	2,545.1
Q4 2028	1,789.1	377.7	119.2	283.2	2,569.3
Q1 2029	2,052.1	279.0	88.0	275.4	2,694.4
Q2 2029	2,208.9	184.3	84.0	280.6	2,757.9
Q3 2029	2,311.4	117.3	78.4	285.9	2,793.0
Q4 2029	2,335.7	75.8	85.0	293.7	2,790.3
Q1 2030	2,532.2	44.8	102.8	283.2	2,963.0
Q2 2030	2,616.7	26.8	105.5	288.5	3,037.5
Q3 2030	2,678.4	12.4	106.6	293.7	3,091.1
Q4 2030	2,699.4	3.8	99.7	301.6	3,104.5

Gross profit: four distinct product allocations

Forecast allocations separate HAMR cloud drives,40TB-class ePMR, other cloud drives and client/consumer HDDs. Each conditional revenue and cost is calculated before the three paths are weighted. A product with no accepted output receives no phantom product revenue.

The actual quarter is controlled by the reported consolidated totals. The current packet does not supply a four-technology financial split, so those actual allocation cells remain missing rather than fabricated as issuer facts. Full-precision raw forecasts and source pointers accompany the report data.

Weighted gross profit, USD million

Quarter	HAMR	Advanced ePMR	Other cloud	Client / consumer	Consolidated
Q3 2026	--	--	--	--	2,544.0
Q4 2026	0.0	869.1	1,939.6	272.7	3,081.4
Q1 2027	96.1	1,627.8	1,437.7	269.9	3,431.5
Q2 2027	281.3	2,015.6	1,218.4	278.4	3,793.8
Q3 2027	636.5	2,094.4	1,031.7	284.1	4,046.8
Q4 2027	1,191.0	1,962.5	847.2	292.6	4,293.3
Q1 2028	1,876.2	1,687.9	689.1	286.9	4,540.1
Q2 2028	2,687.5	1,315.8	522.4	292.6	4,818.2
Q3 2028	3,392.8	1,023.7	394.3	298.3	5,109.0
Q4 2028	4,013.1	706.1	201.8	306.8	5,227.7
Q1 2029	4,742.5	536.9	153.6	298.3	5,731.4
Q2 2029	5,129.0	353.8	162.0	304.0	5,948.8
Q3 2029	5,369.8	221.8	155.4	309.7	6,056.6
Q4 2029	5,358.9	141.8	162.4	318.2	5,981.2
Q1 2030	6,081.8	86.5	208.5	306.8	6,683.6
Q2 2030	6,380.5	50.9	217.6	312.5	6,961.5
Q3 2030	6,614.5	23.0	219.4	318.2	7,175.1
Q4 2030	6,656.5	5.7	203.1	326.7	7,192.0

Manufacturing is paid in separate buckets

The December guide fixes full COGS. After client COGS, ordinary manufacturing depreciation and the 1.5% cloud-sales warranty allowance, the remaining cloud cash budget is 70% volume-variable production and 30% factory overhead. The paid cash decomposition is a proxy, not a disclosed bill of materials.

Variable cost changes with accepted output, the annual cost/TB decline applied through quarterly fourth roots, and technology processing mix. The HAMR cost multiplier is max(0.92, 1.12 minus 0.04 times max(0, forecast index minus 2)); advanced ePMR is 0.98. Factory cash grows 3% annually and responds at 20% of the capacity change, including when conversion disappoints. Ordinary depreciation remains in OP.

Weighted manufacturing bridge

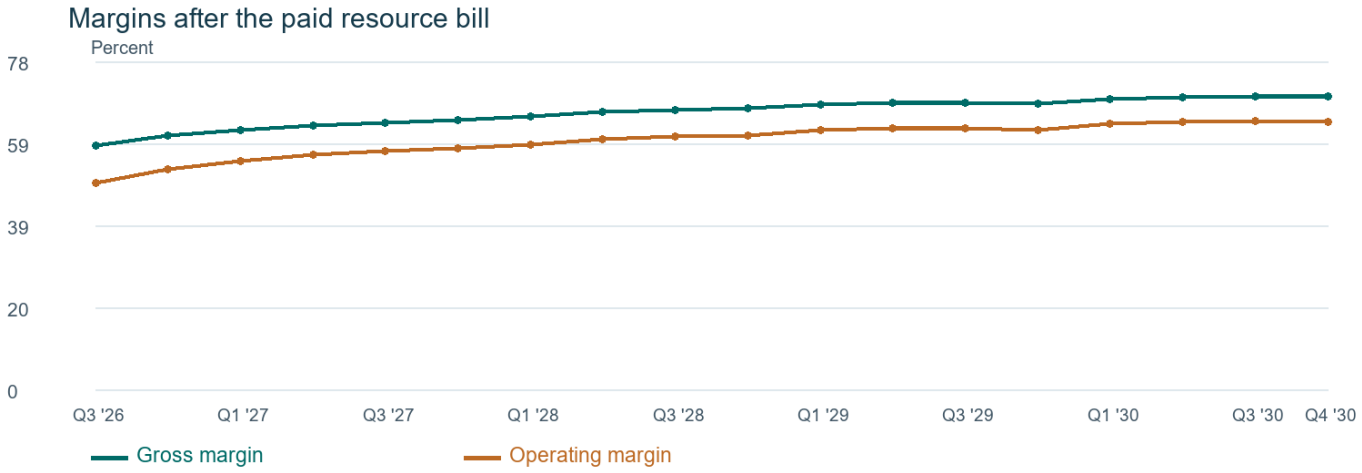
Quarter	Variable cash	Factory fixed	Warranty	COGS DA	Cash COGS	Full COGS
Q3 2026	--	--	--	--	1,753.8	1,837.0
Q4 2026	1,123.5	481.5	68.6	88.3	1,925.3	2,013.6
Q1 2027	1,195.6	493.7	75.4	99.2	2,013.7	2,112.9
Q2 2027	1,270.7	506.2	82.3	111.3	2,116.3	2,227.6
Q3 2027	1,315.8	516.5	87.1	124.3	2,181.7	2,306.0
Q4 2027	1,353.8	527.3	91.7	137.9	2,242.9	2,380.8
Q1 2028	1,378.2	538.3	96.3	151.7	2,277.6	2,429.4
Q2 2028	1,382.5	550.2	100.9	165.7	2,303.7	2,469.4
Q3 2028	1,419.0	564.3	106.2	180.2	2,364.9	2,545.1
Q4 2028	1,403.5	579.1	108.1	195.3	2,374.0	2,569.3
Q1 2029	1,498.7	592.3	117.8	210.3	2,484.2	2,694.4
Q2 2029	1,524.1	606.2	121.8	225.2	2,532.7	2,757.9
Q3 2029	1,522.7	620.2	123.8	240.5	2,552.5	2,793.0
Q4 2029	1,484.0	634.3	122.4	255.9	2,534.4	2,790.3
Q1 2030	1,624.0	648.7	135.8	271.2	2,691.8	2,963.0
Q2 2030	1,657.0	664.1	141.0	286.9	2,750.6	3,037.5
Q3 2030	1,669.7	679.7	144.8	303.2	2,787.9	3,091.1
Q4 2030	1,642.7	695.5	145.0	319.6	2,784.9	3,104.5

Actual component allocations are absent where marked--; consolidated actual cashCOGS/COGS remain explicit.

R&D and commercial support remain paid

Future cash operating expenses start from the full guide opex less 20% of the initial depreciation budget, then grow by the selected 2.5%/2%/2% per forecast quarter. The cash-equivalent compensation allowance uses that same quarterly growth. Current and future R&D/SG&A allocations are proxies: reported adjusted total 391 controls the actual row, and each forecast total includes opex depreciation once.

Qualification projects, global operations, suppliers and commercial support are necessary to monetize density and HAMR development. The model pays those resources rather than converting a margin narrative directly into unburdened profit. E03 call lines 147 and 167-170 support the activity, not these exact cost allocations.



Weighted opex and operating profit

Quarter	R&D incl. DA	SG&A incl. DA	Total opex	Adjusted OP	OP margin
Q3 2026	253.0	138.0	391.0	2,153.0	49.1%
Q4 2026	271.5	133.7	405.2	2,676.2	52.5%
Q1 2027	278.8	137.3	416.1	3,015.4	54.4%
Q2 2027	286.4	141.1	427.5	3,366.3	55.9%
Q3 2027	294.3	144.9	439.2	3,607.5	56.8%
Q4 2027	302.4	148.9	451.3	3,842.0	57.6%
Q1 2028	310.6	153.0	463.6	4,076.5	58.5%
Q2 2028	319.0	157.1	476.2	4,342.1	59.6%
Q3 2028	327.7	161.4	489.1	4,620.0	60.4%
Q4 2028	336.5	165.8	502.3	4,725.4	60.6%
Q1 2029	345.5	170.2	515.7	5,215.7	61.9%
Q2 2029	354.6	174.7	529.3	5,419.5	62.2%
Q3 2029	364.0	179.3	543.2	5,513.4	62.3%
Q4 2029	373.4	183.9	557.4	5,423.9	61.8%
Q1 2030	383.1	188.7	571.7	6,111.9	63.4%
Q2 2030	392.9	193.5	586.4	6,375.1	63.8%
Q3 2030	403.0	198.5	601.4	6,573.6	64.0%
Q4 2030	413.2	203.5	616.8	6,575.2	63.9%

Capital cash and finite asset depreciation

Opening net PPE of 2,586 million and actual quarterly D&A of 104 million are separate anchors. Legacy assets run down by no more than remaining carrying amount. Each paid capex cohort has a seven-year planning life, first-half-quarter depreciation, subsequent bounded straight-line charges and a remaining-basis ledger.

Forecast D&A is allocated 80% to COGS and 20% to opex, then added back once in CFO. Neither the seven-year life nor the functional split is issuer-disclosed. Asset purchases do not certify factory yields or customer-qualified output. Central capex ratios are 7%,6.5%,6%,5.5% for 2027-2030; other paths remain explicit.

Weighted paid capex and asset roll, USD million

Quarter	Capex	Legacy DA	New DA	Total DA	PPE end
Q3 2026	227.0	--	--	104.0	2,586.0
Q4 2026	356.7	104.0	6.4	110.4	2,832.3
Q1 2027	407.0	104.0	20.0	124.0	3,115.3
Q2 2027	442.0	104.0	35.2	139.2	3,418.1
Q3 2027	466.1	104.0	51.4	155.4	3,728.8
Q4 2027	489.1	104.0	68.4	172.4	4,045.4
Q1 2028	476.2	104.0	85.7	189.7	4,331.9
Q2 2028	497.9	104.0	103.1	207.1	4,622.8
Q3 2028	522.6	104.0	121.3	225.3	4,920.2
Q4 2028	532.0	104.0	140.1	244.1	5,208.0
Q1 2029	514.5	104.0	158.8	262.8	5,459.7
Q2 2029	531.4	104.0	177.5	281.5	5,709.7
Q3 2029	539.9	104.0	196.6	300.6	5,948.9
Q4 2029	535.0	104.0	215.8	319.8	6,164.1
Q1 2030	540.5	104.0	235.0	339.0	6,365.5
Q2 2030	560.1	104.0	254.7	358.7	6,567.0
Q3 2030	574.7	104.0	274.9	378.9	6,762.8
Q4 2030	576.3	104.0	295.5	399.5	6,939.5

Delayed Normalization: the full operating budget

This conditional path has a 25% selected joint weight. The first row is the same actual quarter in all paths. Forecast COGS includes variable production, fixed factory resources, warranty and 80% of D&A; operating expenses carry their remaining 20%. Product cost allocations sum back to these exact totals.

The table keeps paid costs separate from revenue. It is not an incremental-margin-only bridge and does not assume that a technology or price surprise removes existing resources. Forecast figures are analytical conditional estimates, not issuer guidance beyond the December endpoint.

Conditional operating bridge, USD million

Quarter	R	Variable cash	Fixed cash	Warranty	Total DA	COGS	Opex	OP
Q3 2026	4,381.0	--	--	--	--	1,837.0	391.0	2,153.0
Q4 2026	5,000.0	1,118.1	479.2	67.3	110.2	2,000.0	410.0	2,590.0
Q1 2027	5,159.3	1,145.8	486.3	69.7	123.9	2,045.5	422.4	2,691.4
Q2 2027	5,564.4	1,234.7	498.3	75.6	139.2	2,172.3	435.4	2,956.6
Q3 2027	5,752.1	1,280.5	508.2	78.2	155.4	2,248.8	448.9	3,054.5
Q4 2027	5,776.1	1,284.0	518.6	78.4	171.8	2,283.6	462.6	3,029.9
Q1 2028	6,133.8	1,364.3	529.1	83.9	188.3	2,388.0	476.6	3,269.2
Q2 2028	6,414.3	1,405.2	540.5	87.9	205.1	2,463.0	490.9	3,460.3
Q3 2028	6,554.9	1,421.5	554.1	89.9	222.5	2,513.8	505.6	3,535.5
Q4 2028	6,464.8	1,377.8	568.2	88.3	239.9	2,504.4	520.7	3,439.8
Q1 2029	7,185.1	1,534.4	580.9	99.3	256.9	2,690.6	535.9	3,958.6
Q2 2029	7,239.7	1,536.4	594.2	100.0	273.6	2,725.0	551.3	3,963.4
Q3 2029	7,099.4	1,499.4	607.6	97.7	290.3	2,717.7	567.1	3,814.7
Q4 2029	6,977.9	1,469.3	621.2	95.7	306.6	2,719.8	583.1	3,675.0
Q1 2030	7,916.7	1,678.7	634.9	110.1	323.2	2,960.3	599.4	4,356.9
Q2 2030	8,151.7	1,719.0	649.7	113.4	340.4	3,037.7	616.2	4,497.7
Q3 2030	8,063.2	1,686.5	664.7	111.9	357.8	3,037.7	633.4	4,392.1
Q4 2030	7,965.0	1,650.7	679.8	110.2	375.0	3,036.8	650.9	4,277.3

Central: the full operating budget

This conditional path has a 55% selected joint weight. The first row is the same actual quarter in all paths. Forecast COGS includes variable production, fixed factory resources, warranty and 80% of D&A; operating expenses carry their remaining 20%. Product cost allocations sum back to these exact totals.

The table keeps paid costs separate from revenue. It is not an incremental-margin-only bridge and does not assume that a technology or price surprise removes existing resources. Forecast figures are analytical conditional estimates, not issuer guidance beyond the December endpoint.

Conditional operating bridge, USD million

Quarter	R	Variable cash	Fixed cash	Warranty	Total DA	COGS	Opex	OP
Q3 2026	4,381.0	--	--	--	--	1,837.0	391.0	2,153.0
Q4 2026	5,100.0	1,123.9	481.7	68.6	110.4	2,014.5	405.0	2,680.5
Q1 2027	5,561.1	1,196.5	494.1	75.6	123.7	2,114.6	415.3	3,031.2
Q2 2027	6,036.4	1,268.1	506.7	82.5	138.2	2,225.1	426.0	3,385.3
Q3 2027	6,390.3	1,314.3	517.0	87.7	153.7	2,304.5	437.1	3,648.7
Q4 2027	6,782.0	1,365.3	527.8	93.3	170.2	2,392.9	448.5	3,940.5
Q1 2028	7,038.6	1,373.1	538.8	97.3	186.8	2,423.8	460.1	4,154.7
Q2 2028	7,349.2	1,367.3	550.7	101.8	203.5	2,453.0	471.9	4,424.2
Q3 2028	7,766.2	1,412.4	564.9	107.9	221.1	2,537.6	484.1	4,744.5
Q4 2028	7,968.8	1,408.4	579.7	110.7	239.4	2,573.8	496.5	4,898.5
Q1 2029	8,534.6	1,482.9	593.0	119.4	257.7	2,677.1	509.2	5,348.4
Q2 2029	8,865.9	1,516.0	606.8	124.2	276.4	2,749.0	522.1	5,594.8
Q3 2029	9,081.9	1,526.4	620.9	127.3	295.6	2,797.2	535.2	5,749.5
Q4 2029	9,008.8	1,484.9	635.1	125.9	315.0	2,792.0	548.6	5,668.1
Q1 2030	9,820.0	1,601.5	649.5	138.4	334.3	2,940.4	562.2	6,317.4
Q2 2030	10,188.5	1,632.0	664.9	143.8	354.0	3,012.7	576.1	6,599.7
Q3 2030	10,550.8	1,659.7	680.6	149.1	374.3	3,082.8	590.2	6,877.8
Q4 2030	10,613.9	1,635.8	696.4	149.8	395.1	3,099.9	604.7	6,909.3

Scarce Accelerated: the full operating budget

This conditional path has a 20% selected joint weight. The first row is the same actual quarter in all paths. Forecast COGS includes variable production, fixed factory resources, warranty and 80% of D&A; operating expenses carry their remaining 20%. Product cost allocations sum back to these exact totals.

The table keeps paid costs separate from revenue. It is not an incremental-margin-only bridge and does not assume that a technology or price surprise removes existing resources. Forecast figures are analytical conditional estimates, not issuer guidance beyond the December endpoint.

Conditional operating bridge, USD million

Quarter	R	Variable cash	Fixed cash	Warranty	Total DA	COGS	Opex	OP
Q3 2026	4,381.0	--	--	--	--	1,837.0	391.0	2,153.0
Q4 2026	5,200.0	1,129.0	483.8	70.0	110.5	2,028.0	400.0	2,772.0
Q1 2027	5,980.1	1,255.2	501.7	81.8	125.0	2,192.8	410.5	3,376.9
Q2 2027	6,551.5	1,323.2	514.8	90.1	141.8	2,303.6	421.5	3,826.4
Q3 2027	7,000.3	1,364.1	525.5	96.6	159.9	2,381.7	433.0	4,185.6
Q4 2027	7,499.9	1,409.4	536.8	103.9	179.4	2,469.0	444.9	4,586.0
Q1 2028	7,824.1	1,409.7	548.2	108.9	199.2	2,496.4	457.1	4,870.6
Q2 2028	8,209.9	1,396.1	560.6	114.5	219.2	2,522.1	469.4	5,218.4
Q3 2028	8,720.1	1,434.1	575.5	122.0	240.4	2,604.8	482.2	5,633.1
Q4 2028	8,989.5	1,422.3	590.9	125.8	262.5	2,637.9	495.3	5,856.3
Q1 2029	9,677.4	1,497.5	604.8	136.4	284.1	2,746.8	508.5	6,422.1
Q2 2029	10,102.5	1,530.9	619.2	142.6	305.3	2,823.2	521.7	6,757.5
Q3 2029	10,398.4	1,541.5	633.9	146.9	327.3	2,875.6	535.3	6,987.5
Q4 2029	10,361.0	1,499.6	648.7	146.1	349.5	2,873.6	549.2	6,938.2
Q1 2030	11,331.9	1,617.3	663.7	161.0	371.8	3,028.3	563.2	7,740.4
Q2 2030	11,787.0	1,648.1	679.9	167.6	394.5	3,105.4	577.5	8,104.0
Q3 2030	12,237.0	1,676.1	696.2	174.2	418.1	3,180.5	592.2	8,464.3
Q4 2030	12,337.8	1,651.9	712.8	175.5	442.2	3,201.5	607.2	8,529.1

Actual cash is not adjusted operating income

Reported CFO1,604 less 227 capex equals 1,377 free cash flow. Beginning cash 1,579 plus operating cash 1,604, investing cash minus 225 and financing cash minus 1,644 equals ending cash 1,314. The convertible settlement 570, repurchases 1,001 and employee-plan outflow 317 are separate reported financing rows.

No financing outflow is added again to operating profit, and no share reduction is inferred from a buyback cash amount. The current release does not identify the facility behind the net 300 debt inflow. Source E01 p 7 controls the historical cash-flow statement.

Q1 FY2027 cash-flow reconciliation, USD million

Item	Cash amount
Operating cash flow	1,604.0
Cash PPE, net	(227.0)
Other investing	2.0
Total investing	(225.0)
Employee stock plans, net	(317.0)
Repurchases	(1,001.0)
Dividends	(56.0)
Convertible transaction settlement	(570.0)
Net debt proceeds / repayments	300.0
Total financing	(1,644.0)
Cash change	(265.0)
Free cash flow	1,377.0

Gross cash follows operating resources and capital

Forecast CFO starts from adjusted OP, adds ordinary D&A once, and deducts cash interest,17% cash tax, trade-NWC change and a growing 79 million cash-equivalent compensation allowance. Opening 304 million tax payable is paid once inside Q4 2026 CFO, separately from that quarter forecast tax.

Capex, dividends and current-debt settlement then reduce cash. A conditional new-debt rule fills a 500 million floor at 8% interest on the subsequent opening debt balance. This is an analytical financing assumption, not a committed facility. None of the selected baseline paths requires such a draw.



Weighted cash descriptions, USD million

Quarter	CFO	Capex	FCF	Dividend	Principal	Debt draw	Cash end
Q3 2026	1,604.0	227.0	1,377.0	56.0	--	--	1,314.0
Q4 2026	1,590.8	356.7	1,234.1	67.9	789.0	0.0	1,691.2
Q1 2027	2,304.9	407.0	1,897.9	67.9	0.0	0.0	3,521.3
Q2 2027	2,600.5	442.0	2,158.6	67.9	0.0	0.0	5,611.9
Q3 2027	2,885.9	466.1	2,419.8	67.9	0.0	0.0	7,963.8
Q4 2027	3,099.7	489.1	2,610.6	67.9	0.0	0.0	10,506.5
Q1 2028	3,310.9	476.2	2,834.8	67.9	0.0	0.0	13,273.4
Q2 2028	3,527.6	497.9	3,029.6	67.9	0.0	0.0	16,235.1
Q3 2028	3,764.4	522.6	3,241.7	67.9	0.0	0.0	19,409.0
Q4 2028	3,980.2	532.0	3,448.3	67.9	0.0	0.0	22,789.4
Q1 2029	4,155.1	514.5	3,640.6	67.9	0.0	0.0	26,362.0
Q2 2029	4,525.4	531.4	3,994.0	67.9	0.0	0.0	30,288.1
Q3 2029	4,691.2	539.9	4,151.3	67.9	0.0	0.0	34,371.5
Q4 2029	4,752.0	535.0	4,216.9	67.9	0.0	0.0	38,520.6
Q1 2030	4,838.7	540.5	4,298.3	67.9	0.0	0.0	42,750.9
Q2 2030	5,348.3	560.1	4,788.2	67.9	0.0	0.0	47,471.2
Q3 2030	5,572.8	574.7	4,998.1	67.9	0.0	0.0	52,401.4
Q4 2030	5,718.9	576.3	5,142.7	67.9	0.0	0.0	57,476.1

Weighted cash is a description of independently funded path outcomes, not permission to fund a weak path with another path cash balance.

Delayed Normalization: cash and funding

This cash ledger pays capex and compensation resources, dividends and the selected current-debt principal budget. Cash-flow components are not canceled through a probability average. The source starting cash is 1,314 million. Selected debt settlements and future resource costs are shown as cash uses before any floor-funding assumption.

All 789 million reported current debt is conservatively settled in Q4 2026, including 109.505 million called note principal once. The note was called for a future November redemption; this is not a claim that settlement was completed at the research date. Exact future lease cash and noncurrent-liability runoff remain unresolved.

Conditional cash ledger, USD million

Quarter	CFO	Capex	Cash comp	Opening tax	Principal	Dividend	Debt draw	Cash end
Q3 2026	1,604.0	227.0	--	--	--	56.0	--	1,314.0
Q4 2026	1,574.0	350.0	79.0	304.0	789.0	67.9	0.0	1,681.1
Q1 2027	2,188.8	412.7	81.0	0.0	0.0	67.9	0.0	3,389.3
Q2 2027	2,313.2	445.2	83.0	0.0	0.0	67.9	0.0	5,189.5
Q3 2027	2,516.6	460.2	85.1	0.0	0.0	67.9	0.0	7,178.0
Q4 2027	2,590.0	462.1	87.2	0.0	0.0	67.9	0.0	9,238.0
Q1 2028	2,632.2	460.0	89.4	0.0	0.0	67.9	0.0	11,342.3
Q2 2028	2,837.3	481.1	91.6	0.0	0.0	67.9	0.0	13,630.6
Q3 2028	2,989.0	491.6	93.9	0.0	0.0	67.9	0.0	16,060.1
Q4 2028	3,035.9	484.9	96.3	0.0	0.0	67.9	0.0	18,543.2
Q1 2029	3,082.2	467.0	98.7	0.0	0.0	67.9	0.0	21,090.5
Q2 2029	3,433.8	470.6	101.1	0.0	0.0	67.9	0.0	23,985.8
Q3 2029	3,423.9	461.5	103.7	0.0	0.0	67.9	0.0	26,880.3
Q4 2029	3,315.6	453.6	106.2	0.0	0.0	67.9	0.0	29,674.5
Q1 2030	3,362.9	475.0	108.9	0.0	0.0	67.9	0.0	32,494.5
Q2 2030	3,844.9	489.1	111.6	0.0	0.0	67.9	0.0	35,782.4
Q3 2030	3,931.7	483.8	114.4	0.0	0.0	67.9	0.0	39,162.4
Q4 2030	3,856.6	477.9	117.3	0.0	0.0	67.9	0.0	42,473.2

Central: cash and funding

This cash ledger pays capex and compensation resources, dividends and the selected current-debt principal budget. Cash-flow components are not canceled through a probability average. The source starting cash is 1,314 million. Selected debt settlements and future resource costs are shown as cash uses before any floor-funding assumption.

All 789 million reported current debt is conservatively settled in Q4 2026, including 109.505 million called note principal once. The note was called for a future November redemption; this is not a claim that settlement was completed at the research date. Exact future lease cash and noncurrent-liability runoff remain unresolved.

Conditional cash ledger, USD million

Quarter	CFO	Capex	Cash comp	Opening tax	Principal	Dividend	Debt draw	Cash end
Q3 2026	1,604.0	227.0	--	--	--	56.0	--	1,314.0
Q4 2026	1,591.6	357.0	79.0	304.0	789.0	67.9	0.0	1,691.7
Q1 2027	2,310.8	389.3	80.6	0.0	0.0	67.9	0.0	3,545.3
Q2 2027	2,614.1	422.5	82.2	0.0	0.0	67.9	0.0	5,669.0
Q3 2027	2,905.0	447.3	83.8	0.0	0.0	67.9	0.0	8,058.8
Q4 2027	3,143.1	474.7	85.5	0.0	0.0	67.9	0.0	10,659.3
Q1 2028	3,387.8	457.5	87.2	0.0	0.0	67.9	0.0	13,521.6
Q2 2028	3,591.4	477.7	89.0	0.0	0.0	67.9	0.0	16,567.4
Q3 2028	3,837.5	504.8	90.7	0.0	0.0	67.9	0.0	19,832.2
Q4 2028	4,089.1	518.0	92.6	0.0	0.0	67.9	0.0	23,335.4
Q1 2029	4,288.2	512.1	94.4	0.0	0.0	67.9	0.0	27,043.6
Q2 2029	4,639.7	532.0	96.3	0.0	0.0	67.9	0.0	31,083.5
Q3 2029	4,844.3	544.9	98.2	0.0	0.0	67.9	0.0	35,315.0
Q4 2029	4,946.3	540.5	100.2	0.0	0.0	67.9	0.0	39,652.9
Q1 2030	5,032.1	540.1	102.2	0.0	0.0	67.9	0.0	44,077.0
Q2 2030	5,520.0	560.4	104.2	0.0	0.0	67.9	0.0	48,968.7
Q3 2030	5,771.5	580.3	106.3	0.0	0.0	67.9	0.0	54,092.0
Q4 2030	5,974.8	583.8	108.5	0.0	0.0	67.9	0.0	59,415.1

Scarce Accelerated: cash and funding

This cash ledger pays capex and compensation resources, dividends and the selected current-debt principal budget. Cash-flow components are not canceled through a probability average. The source starting cash is 1,314 million. Selected debt settlements and future resource costs are shown as cash uses before any floor-funding assumption.

All 789 million reported current debt is conservatively settled in Q4 2026, including 109.505 million called note principal once. The note was called for a future November redemption; this is not a claim that settlement was completed at the research date. Exact future lease cash and noncurrent-liability runoff remain unresolved.

Conditional cash ledger, USD million

Quarter	CFO	Capex	Cash comp	Opening tax	Principal	Dividend	Debt draw	Cash end
Q3 2026	1,604.0	227.0	--	--	--	56.0	--	1,314.0
Q4 2026	1,609.5	364.0	79.0	304.0	789.0	67.9	0.0	1,702.6
Q1 2027	2,434.0	448.5	80.6	0.0	0.0	67.9	0.0	3,620.2
Q2 2027	2,922.1	491.4	82.2	0.0	0.0	67.9	0.0	5,983.0
Q3 2027	3,294.8	525.0	83.8	0.0	0.0	67.9	0.0	8,684.9
Q4 2027	3,617.5	562.5	85.5	0.0	0.0	67.9	0.0	11,672.1
Q1 2028	3,948.0	547.7	87.2	0.0	0.0	67.9	0.0	15,004.5
Q2 2028	4,215.0	574.7	89.0	0.0	0.0	67.9	0.0	18,576.9
Q3 2028	4,532.5	610.4	90.7	0.0	0.0	67.9	0.0	22,431.1
Q4 2028	4,861.3	629.3	92.6	0.0	0.0	67.9	0.0	26,595.3
Q1 2029	5,130.2	580.6	94.4	0.0	0.0	67.9	0.0	31,077.0
Q2 2029	5,575.7	606.1	96.3	0.0	0.0	67.9	0.0	35,978.6
Q3 2029	5,854.1	623.9	98.2	0.0	0.0	67.9	0.0	41,140.8
Q4 2029	6,012.9	621.7	100.2	0.0	0.0	67.9	0.0	46,464.1
Q1 2030	6,151.8	623.3	102.2	0.0	0.0	67.9	0.0	51,924.8
Q2 2030	6,755.6	648.3	104.2	0.0	0.0	67.9	0.0	57,964.2
Q3 2030	7,077.8	673.0	106.3	0.0	0.0	67.9	0.0	64,301.1
Q4 2030	7,343.1	678.6	108.5	0.0	0.0	67.9	0.0	70,897.7

Trade working capital is an explicit cash bridge

AR and other operating assets scale from reported balances relative to revenue. Inventory and AP scale with cash COGS. Operating accruals scale with cash COGS plus cash opex, using the combined reported accrued-expense and compensation balances. These are aggregate LOW-confidence turnover proxies, not audited account-level runoff forecasts.

NWC equals AR plus inventory and other operating assets, less AP and operating accruals. Its quarter-to-quarter change is deducted from CFO. The 304 million opening tax payable is outside this trade-NWC definition and is paid separately once; opening 799 million other noncurrent liabilities remain carried without an assumed cash release.

Exact ratios are AR/revenue 2,232/4,381; other assets/revenue 541/4,381; inventory/cashCOGS1,781/1,753.8; AP/cashCOGS1,855/1,753.8; and operating accruals/(cashCOGS+cashopex)1,144/2,124. Source balances determine the ratios; they do not certify future collection or payment timing.

Weighted trade-NWC balances, USD million

Quarter	AR	Inventory	Other assets	AP	Accruals	NWC	Change NWC
Q3 2026	2,232.0	1,781.0	541.0	1,855.0	1,144.0	--	--
Q4 2026	2,595.8	1,955.1	629.2	2,036.4	1,243.3	1,900.3	345.3
Q1 2027	2,824.8	2,045.0	684.7	2,129.9	1,295.4	2,129.1	228.7
Q2 2027	3,067.7	2,149.1	743.6	2,238.4	1,355.1	2,366.9	237.9
Q3 2027	3,236.6	2,215.5	784.5	2,307.6	1,394.9	2,534.1	167.2
Q4 2027	3,400.3	2,277.6	824.2	2,372.3	1,432.5	2,697.3	163.2
Q1 2028	3,550.8	2,313.0	860.7	2,409.1	1,456.0	2,859.3	162.0
Q2 2028	3,712.8	2,339.4	899.9	2,436.6	1,475.0	3,040.6	181.3
Q3 2028	3,899.6	2,401.6	945.2	2,501.3	1,512.9	3,232.1	191.5
Q4 2028	3,972.3	2,410.8	962.8	2,510.9	1,522.9	3,312.1	80.0
Q1 2029	4,292.7	2,522.7	1,040.5	2,627.5	1,587.4	3,640.9	328.8
Q2 2029	4,435.8	2,571.9	1,075.2	2,678.8	1,618.9	3,785.2	144.3
Q3 2029	4,508.6	2,592.1	1,092.8	2,699.8	1,635.0	3,858.8	73.5
Q4 2029	4,468.8	2,573.7	1,083.2	2,680.7	1,630.8	3,814.3	(44.5)
Q1 2030	4,914.7	2,733.5	1,191.2	2,847.1	1,721.2	4,271.1	456.8
Q2 2030	5,094.2	2,793.2	1,234.8	2,909.3	1,758.7	4,454.2	183.1
Q3 2030	5,230.3	2,831.2	1,267.7	2,948.8	1,784.7	4,595.7	141.5
Q4 2030	5,245.8	2,828.1	1,271.5	2,945.6	1,789.1	4,610.6	14.9

Opening reported balances remain in the canonical model; actual quarter allocation cells not present in its cash subledger are shown--.

Cash qualifications and no hidden equity benefit

Cash is gross before future discretionary buybacks and unmodeled noncurrent settlements, not distributable NAV. The 799 million opening other noncurrent liabilities are carried unchanged. The model assumes neither forgiveness nor monetization, and it does not assert zero lease obligations.

The 79 million allowance conservatively makes excluded equity compensation cash-equivalent in cash planning; it does not create a second SBC addback or a lower share denominator. Ordinary DA remains in OP and is added back once. Fixed 388 million shares remain despite actual 383 million adjusted weighted shares and 380 million guided weighted shares.

Cash and debt are not added to or subtracted from the native operating-profit valuation. The funding floor is a conditional planning rule only. Positive cash under the selected assumptions does not certify lender availability, covenant compliance, future capital allocation or all liability maturities.

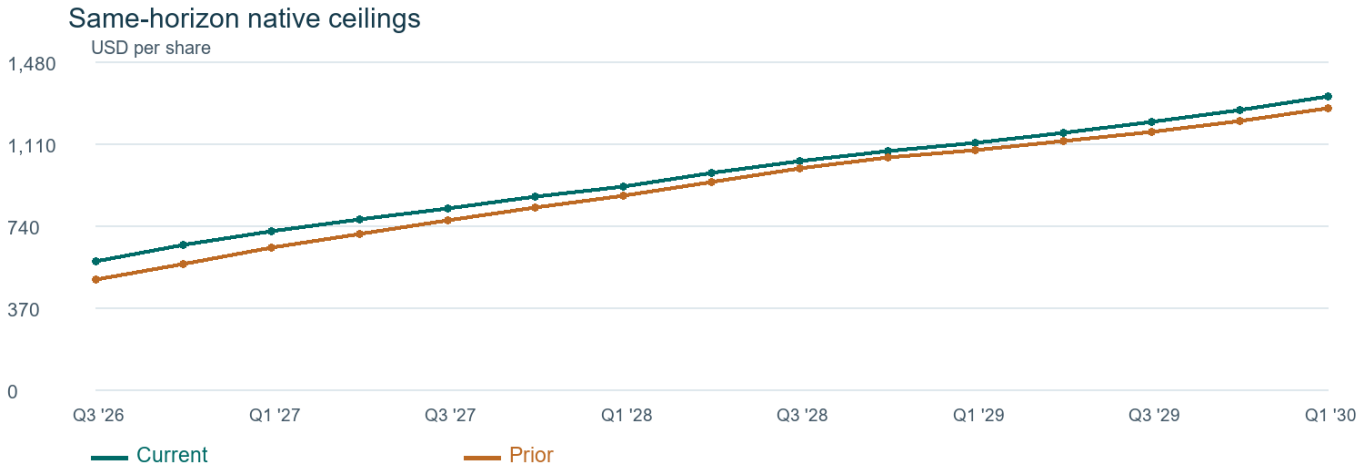
Selected financing and accounting boundaries

Control / item	Treatment
Opening current debt	789M cash Q4 2026; includes109.505M note once
Opening income-tax payable	304M paid once in Q4 2026 CFO
Other noncurrent liabilities	799M carried unchanged; future settlement not modeled
Conditional floor / rate	500M / 8%; no baseline draw
Recurring cash compensation allowance	79M starting Q4 2026, grows with selected opex rate
Dividend planning	0.175USD ×388M =67.9M each forecast quarter
Future buybacks / share cuts	Zero discretionary buybacks; no denominator reduction
Valuation cash / EV adjustment	None under the selected native convention

The native valuation is a weighted four-term law

Each complete starting quarter sums its current adjusted OP and the next three quarters, multiplies by 20, and divides by 388 million shares. The three joint conditional prices receive their 25/55/20 weights once. Because all paths use the same fixed denominator, weighting the four-quarter OP gives the same price as weighting conditional prices.

For Q4 2027, the weighted four OP terms are 3,841.953116,4,076.504150,4,342.054475 and 4,619.961065 million. Their 16,880.472806 million sum yields 870.127464 USD. The prior 819.032566 uses the same horizon, multiple and shares; the change is 6.238445%, not a horizon roll or price-dependent upside.



Active conditional valuation

Path	Weight	Four-quarter OP	USD/share
Delayed Normalization	25.0%	13,294.942	685.306
Central	55.0%	17,263.860	889.890
Scarce Accelerated	20.0%	20,308.072	1,046.808
Weighted	100%	16,880.473	870.127

All fifteen weighted four-quarter chains

Each row preserves all four explicit OP terms rather than a pasted terminal price. Current plus the next three quarters is the fixed horizon. Trailing operating quarters continue to support earlier windows, but they do not receive an incomplete valuation of their own.

Weighted F4 OP derivations

Start quarter	OP term1	OP term2	OP term3	OP term4	F4 OP	USD/share
Q3 2026	2,153.000	2,676.175	3,015.390	3,366.325	11,210.890	577.881
Q4 2026	2,676.175	3,015.390	3,366.325	3,607.530	12,665.420	652.857
Q1 2027	3,015.390	3,366.325	3,607.530	3,841.953	13,831.198	712.948
Q2 2027	3,366.325	3,607.530	3,841.953	4,076.504	14,892.313	767.645
Q3 2027	3,607.530	3,841.953	4,076.504	4,342.054	15,868.042	817.940
Q4 2027	3,841.953	4,076.504	4,342.054	4,619.961	16,880.473	870.127
Q1 2028	4,076.504	4,342.054	4,619.961	4,725.405	17,763.925	915.666
Q2 2028	4,342.054	4,619.961	4,725.405	5,215.677	18,903.098	974.386
Q3 2028	4,619.961	4,725.405	5,215.677	5,419.498	19,980.542	1,029.925
Q4 2028	4,725.405	5,215.677	5,419.498	5,513.379	20,873.960	1,075.977
Q1 2029	5,215.677	5,419.498	5,513.379	5,423.873	21,572.428	1,111.981
Q2 2029	5,419.498	5,513.379	5,423.873	6,111.882	22,468.632	1,158.177
Q3 2029	5,513.379	5,423.873	6,111.882	6,375.089	23,424.223	1,207.434
Q4 2029	5,423.873	6,111.882	6,375.089	6,573.646	24,484.490	1,262.087
Q1 2030	6,111.882	6,375.089	6,573.646	6,575.232	25,635.849	1,321.435

OP and F4 are USD million. Every row uses20x /388M starting-quarter shares. Displayed rounded terms can differ slightly from the exact raw sum.

Three deliberately unpriced tails

Quarter	F4 OP	Ceiling
Q2 2030	--	--
Q3 2030	--	--
Q4 2030	--	--

These are true missing full-window values, not zero prices.

Delayed Normalization: all fifteen priced windows

The selected joint weight is 25%. These are conditional prices before that outer weight. The same 20x multiple and 388 million denominator apply to each path. Probabilities do not double as source-confidence grades or get applied a second time to accepted output.

For each starting quarter the four adjacent adjusted OP entries are summed. No current cash balance, future buyback assumption or separate technology/AI wallet is added. The final three operating rows stay available to complete earlier windows but have no four-quarter price.

Conditional F4 OP derivations

Start quarter	OP term1	OP term2	OP term3	OP term4	F4 OP	USD/share
Q3 2026	2,153.000	2,590.000	2,691.382	2,956.648	10,391.030	535.620
Q4 2026	2,590.000	2,691.382	2,956.648	3,054.457	11,292.487	582.087
Q1 2027	2,691.382	2,956.648	3,054.457	3,029.879	11,732.366	604.761
Q2 2027	2,956.648	3,054.457	3,029.879	3,269.246	12,310.230	634.548
Q3 2027	3,054.457	3,029.879	3,269.246	3,460.325	12,813.907	660.511
Q4 2027	3,029.879	3,269.246	3,460.325	3,535.492	13,294.942	685.306
Q1 2028	3,269.246	3,460.325	3,535.492	3,439.810	13,704.873	706.437
Q2 2028	3,460.325	3,535.492	3,439.810	3,958.614	14,394.240	741.971
Q3 2028	3,535.492	3,439.810	3,958.614	3,963.405	14,897.321	767.903
Q4 2028	3,439.810	3,958.614	3,963.405	3,814.712	15,176.540	782.296
Q1 2029	3,958.614	3,963.405	3,814.712	3,675.038	15,411.769	794.421
Q2 2029	3,963.405	3,814.712	3,675.038	4,356.912	15,810.067	814.952
Q3 2029	3,814.712	3,675.038	4,356.912	4,497.729	16,344.391	842.494
Q4 2029	3,675.038	4,356.912	4,497.729	4,392.072	16,921.752	872.255
Q1 2030	4,356.912	4,497.729	4,392.072	4,277.294	17,524.007	903.299

OP and F4 are USD million. Every row uses20x /388M starting-quarter shares. Displayed rounded terms can differ slightly from the exact raw sum.

Central: all fifteen priced windows

The selected joint weight is 55%. These are conditional prices before that outer weight. The same 20x multiple and 388 million denominator apply to each path. Probabilities do not double as source-confidence grades or get applied a second time to accepted output.

For each starting quarter the four adjacent adjusted OP entries are summed. No current cash balance, future buyback assumption or separate technology/AI wallet is added. The final three operating rows stay available to complete earlier windows but have no four-quarter price.

Conditional F4 OP derivations

Start quarter	OP term1	OP term2	OP term3	OP term4	F4 OP	USD/share
Q3 2026	2,153.000	2,680.500	3,031.211	3,385.251	11,249.962	579.895
Q4 2026	2,680.500	3,031.211	3,385.251	3,648.720	12,745.682	656.994
Q1 2027	3,031.211	3,385.251	3,648.720	3,940.527	14,005.710	721.944
Q2 2027	3,385.251	3,648.720	3,940.527	4,154.665	15,129.164	779.854
Q3 2027	3,648.720	3,940.527	4,154.665	4,424.186	16,168.099	833.407
Q4 2027	3,940.527	4,154.665	4,424.186	4,744.481	17,263.860	889.890
Q1 2028	4,154.665	4,424.186	4,744.481	4,898.528	18,221.860	939.271
Q2 2028	4,424.186	4,744.481	4,898.528	5,348.356	19,415.552	1,000.802
Q3 2028	4,744.481	4,898.528	5,348.356	5,594.816	20,586.182	1,061.143
Q4 2028	4,898.528	5,348.356	5,594.816	5,749.458	21,591.159	1,112.946
Q1 2029	5,348.356	5,594.816	5,749.458	5,668.120	22,360.751	1,152.616
Q2 2029	5,594.816	5,749.458	5,668.120	6,317.399	23,329.794	1,202.567
Q3 2029	5,749.458	5,668.120	6,317.399	6,599.739	24,334.717	1,254.367
Q4 2029	5,668.120	6,317.399	6,599.739	6,877.775	25,463.034	1,312.528
Q1 2030	6,317.399	6,599.739	6,877.775	6,909.267	26,704.181	1,376.504

OP and F4 are USD million. Every row uses20x /388M starting-quarter shares. Displayed rounded terms can differ slightly from the exact raw sum.

Scarce Accelerated: all fifteen priced windows

The selected joint weight is 20%. These are conditional prices before that outer weight. The same 20x multiple and 388 million denominator apply to each path. Probabilities do not double as source-confidence grades or get applied a second time to accepted output.

For each starting quarter the four adjacent adjusted OP entries are summed. No current cash balance, future buyback assumption or separate technology/AI wallet is added. The final three operating rows stay available to complete earlier windows but have no four-quarter price.

Conditional F4 OP derivations

Start quarter	OP term1	OP term2	OP term3	OP term4	F4 OP	USD/share
Q3 2026	2,153.000	2,772.000	3,376.891	3,826.375	12,128.266	625.168
Q4 2026	2,772.000	3,376.891	3,826.375	4,185.600	14,160.866	729.942
Q1 2027	3,376.891	3,826.375	4,185.600	4,585.967	15,974.833	823.445
Q2 2027	3,826.375	4,185.600	4,585.967	4,870.634	17,468.576	900.442
Q3 2027	4,185.600	4,585.967	4,870.634	5,218.355	18,860.555	972.194
Q4 2027	4,585.967	4,870.634	5,218.355	5,633.117	20,308.072	1,046.808
Q1 2028	4,870.634	5,218.355	5,633.117	5,856.310	21,578.415	1,112.289
Q2 2028	5,218.355	5,633.117	5,856.310	6,422.140	23,129.921	1,192.264
Q3 2028	5,633.117	5,856.310	6,422.140	6,757.490	24,669.057	1,271.601
Q4 2028	5,856.310	6,422.140	6,757.490	6,987.498	26,023.438	1,341.414
Q1 2029	6,422.140	6,757.490	6,987.498	6,938.236	27,105.364	1,397.184
Q2 2029	6,757.490	6,987.498	6,938.236	7,740.419	28,423.644	1,465.136
Q3 2029	6,987.498	6,938.236	7,740.419	8,104.001	29,770.154	1,534.544
Q4 2029	6,938.236	7,740.419	8,104.001	8,464.258	31,246.915	1,610.666
Q1 2030	7,740.419	8,104.001	8,464.258	8,529.058	32,837.737	1,692.667

OP and F4 are USD million. Every row uses20x /388M starting-quarter shares. Displayed rounded terms can differ slightly from the exact raw sum.

Adoption, competition and the cycle boundary

The current HDD cycle is a monetization ramp: higher density, enterprise storage demand and producer pricing are improving current capture. Management sees top-seven customer visibility through 2030/31, but volumes and prices are less fully covered by LTAs farther out. The analyst 35% growth example was not adopted as guidance.

40TB-class ePMR is ramping; management expects 30% of nearline bits in fiscalQ2 and 50% inQ3. HAMR remains a qualification-to-volume transition. Second-generation qualification starts in the second half of calendar 2027; the 55TB description is a roadmap, not accepted shipments today. A single 44TB ePMR phrase and fiscal-versus-calendar HAMR wording remain unresolved without audio.

The conditional adoption stages are the 2026-27 ePMR ramp,2027 HAMR qualification and acceptance, possible 2028 density cash returns, and 2029-30 data-retention demand. These are analytical stages and milestones, not management guidance or additional revenue pools. Longer HAMR fabrication cycles, head/media throughput, DRAM/NAND inflation and customer/vendor readiness make longer-dated margin assumptions especially uncertain.

Seagate is a scaled HDD rival with commercial HAMR experience. Toshiba nearline expansion can pressure supply and contract rents. SSDs substitute in performance-sensitive storage tiers, and changing NAND economics can expand their applications. The retained FY2026 10-K identifies Seagate, Toshiba and NAND-enabled alternatives; the prior validated report describes commercial HAMR and performance-tier substitution. Those alternatives prevent monopoly credit. High-bandwidth and dual-pivot samples receive no 8xASP or separate service revenue.

Shared customer funding, available power, data-center construction and memory input costs can delay deployment and cash returns. These constraints overlap the same customer budgets supporting cloud, AI compute and storage. Their headline spending is not added as independent WDC sales.

Analytical alpha is bounded producer realization on qualified scarce storage economics. Existing pricing and cloud demand were already modeled, so the update replaces rather than stacks the old premium. No verified market-consensus gap, new monopoly, exclusive customer access or separate SpaceX/inference/physical-AI wallet is asserted.

What must convert before more revenue is credited

Milestone	Economic boundary
ePMR density ramp	Bits are not unit share; one shared exabyte pool
First-generation HAMR	Customer qualification and paid head/media process capacity
Second-generation /55TB	Future qualification and shipment acceptance
High-bandwidth / dual-pivot	Samples; pricing and commercialization unresolved
Customer LTAs	Long visibility is not all fixed-price committed revenue

Retained FY2026 10-K: Business, competition and discontinued operations | https://www.sec.gov/Archives/edgar/data/106040/000162828026057139/wdc-20260703.htm

Scorecard: analytical 78, protected Excel 77

Root-selected category points sum to 47 of 60 and round to 78. Protected Excel Base 77 remains a separate portfolio input. The single added point is in cycle, reflecting current capture demonstrated by actual results and the guide; it is not extra moat or already-completed HAMR credit.

Operating-path probabilities and scorecard points answer different questions. The 25/55/20 joint law produces the expected financials. No second score haircut is applied to OP, the four-quarter horizon or the native multiple. The source/economic uncertainties remain visible in the forward paths.

Full analytical category scorecard

Category	Points	Rationale
Core	17	Qualified HDD design and head/media capabilities, with supplier/customer execution limits.
Cycle	10	Current realization and the issued guide support one additional cycle point; the old223EB base was already modeled.
Tam	8	Cloud and AI storage activity expands the addressable use, without a separate new wallet.
Catalysts	5	Density ramp and HAMR customer milestones remain conditional.
Macro	9	Paid cloud demand and storage requirements are supportive; concentration and financing remain relevant.
Alpha	2	Bounded delayed producer-price capture; no verified consensus mispricing asserted.
Risks	(4)	Technology/yield, demand/concentration, competition/substitution and finance/input-cost/policy remain material.
Total	47	47/60 =78.33%, displayed78
Protected Excel Base	77	Held separately; unchanged

Source register and management-call completeness

The newest two quarterly earnings calls are October 22 and August 5. Both complete accessible written records, including prepared remarks, all Q&A, management closing and operator disconnect, were read. Quartr through StockAnalysis is the written provider; these are not issuer-authenticated transcripts. Audio was not independently replayed.

The current official release, deck and 8-K text control financial actuals. Direct PDF/HTML HTTP403 originals and bounded failed visual recovery remain preserved. No new original current issuer PDF graphics or pixels are claimed. This report uses five original analytical charts, clearly distinct from issuer source exhibits.

No currentQ1 FY2027 10-Q appeared in inspected issuer indexes; that is a bounded observation, not proof of universal filing absence. The September investor conference is supplemental and is not substituted for one of the two newest earnings calls.

Evidence scope

ID	Document	Completed coverage / limitation
E01	Oct22 release	Full accessible official text; direct binary HTTP403 retained
E02	Oct22 deck	Full accessible official text; no current original pixels recovered
E03	Oct22 FQ1 call	Full Quartr/StockAnalysis prepared remarks,12analyst turns,closing/disconnect
E04	Aug5 FQ4 call	Full written prepared remarks,10analyst turns,closing/disconnect
E05	Oct22 8-K	Full accessible furnished results text; no newQ1 10-Q found in bounded index
E06	Sep14 redemption notice	Future call terms; event already in prior completed report
E07	Prior validated model	Exact7019e1 source, existing method and finite overlap retained

Sources, units and supported model boundaries

USD millions are used for operating, balance-sheet and cash tables. Shares are millions; per-share values are USD. Exabytes are nearline accepted quantities unless explicitly labeled total or non-nearline. Price per terabyte is a full producer-realization proxy, not a spot-market quote. Rounded table cells preserve exact raw values and declared data pointers in the companion report contract.

Actual figures and the issued one-quarter guide have a different evidence status from LOW-confidence capacity, product costs, asset lives, prices, NWC ratios and financing assumptions. Unknown actual technology splits remain missing, not zero. The operating-profit valuation does not prove that future manufacturing yield or cash access is assured.

The linked workbook recalculates expected operating economics and native valuations. The full nonlinear conditional capacity, asset and cash model remains in the canonical JSON; the workbook is not presented as a fully live simulation of that solver. Conditional path tables and the exact recognition, cost, cash and four-term recipes preserve that boundary.

The saved 448.17 quote retains its September 21 historical date and does not become a current quote. Holding status is unspecified. Native Office verification and full 276-sheet runtime certification are not claimed. Source originals and complete written calls remain private evidence rather than material reproduced in public bulletins.

E01 current release | https://investor.wdc.com/static-files/d4c70967-9cf8-45ff-ba15-93de77163154

E02 current deck | https://investor.wdc.com/static-files/0c54ec27-0e0d-46b1-a56b-2c72b02815ff

E03 FQ1FY2027 written call | https://stockanalysis.com/stocks/wdc/transcripts/725285-q1-2027/

E04 FQ4FY2026 written call | https://stockanalysis.com/stocks/wdc/transcripts/658556-q4-2026/

E05 current8-K | https://investor.wdc.com/static-files/69f06c55-73f2-430b-a190-f9534022692f

E06 prior redemption notice | https://investor.wdc.com/static-files/690e6a88-0458-4d1b-b400-b51c4e449edd